Corvane Flow Systems: company overview and key performance indicators

$667.2m
Revenue, FY2026E
+5.4% on FY2025A

$126.0m
Adj. EBITDA, FY2026E
18.9% margin, +0.4pp

6.5%
Revenue CAGR, FY21A-26E
Adj. EBITDA CAGR 9.5%

27.3%
Aftermarket mix, FY2026E
of revenue; 24.3% in FY2021A

82.0%
Cash conversion, FY2026E
(EBITDA - capex) / EBITDA

$274.6m
Order backlog, FY2026E
0.41x FY2026E revenue

10.0x
Entry EV / Adj. EBITDA
FY2026E; EV $1,260.0m

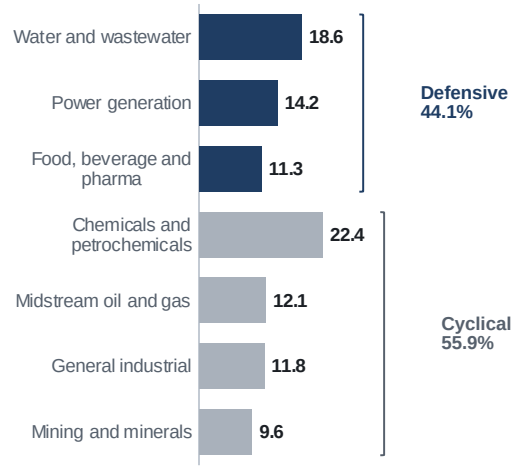
Business at a glance

FY2026E unless stated

Item	Corvane
Business	Engineered valves, pumps and aftermarket services for process industries
Headquarters	Dayton, Ohio; founded 1962
Employees	4,350, of whom 610 field-service engineers
Plants	14: 8 Americas, 4 Europe, 2 Asia
Installed base	c.1.9m valves and 61,000 pumps in service
Geography	N. America 58%, Europe 27%, APAC and RoW 15%
Customers	Top 10 are 21% of revenue; largest 4.2%
Contracts	46% of revenue under multi-year frame agreements
Inputs	Castings and bar stock 31% of cost of sales
Seller	Founding family (68%) and a minority investor

Revenue by end market

% of FY2026E revenue; defensive markets in blue, cyclical in grey



Revenue by region

$m and share of revenue (%); by customer location

Region	FY21A	%	FY26E	%	CAGR (%)
North America	297.6	61.0	387.0	58.0	5.4
Europe	126.8	26.0	180.1	27.0	7.3
Asia Pacific and rest of world	63.4	13.0	100.1	15.0	**9.6**
Total	**487.8**	**100.0**	**667.2**	**100.0**	**6.5**

Segment summary

$m; FY2021A to FY2026E; segment EBITDA before corporate costs

Segment	Rev. FY21A	Rev. FY26E	CAGR (%)	Share (%)	EBITDA FY26E	Margin (%)
Engineered valves	228.0	309.8	6.3	46.4	65.1	21.0
Pumps and systems	141.2	175.1	4.4	26.2	23.6	13.5
Aftermarket and services	118.6	182.3	**9.0**	27.3	55.6	**30.5**
Corporate costs	NA	NA	NA	NA	(18.3)	NA
Total	**487.8**	**667.2**	**6.5**	**100.0**	**126.0**	**18.9**

Historical financial summary

$m unless stated; fiscal years to December; FY2026E is nine months actual and three budget

	FY21A	FY22A	FY23A	FY24A	FY25A	FY26E	CAGR (%)
Revenue ($m)							
Engineered valves	228.0	251.5	270.2	281.9	296.4	309.8	6.3
Pumps and systems	141.2	155.0	161.8	158.3	167.5	175.1	4.4
Aftermarket and services	118.6	129.4	142.7	155.2	168.9	182.3	9.0
Total revenue	**487.8**	**535.9**	**574.7**	**595.4**	**632.8**	667.2	**6.5**
Growth (%)	*NA*	*9.9*	*7.2*	*3.6*	*6.3*	5.4	
Profitability ($m)							
Gross profit (pre-D&A)	156.6	174.7	192.5	203.0	219.6	234.9	8.4
Gross margin (%)	*32.1*	*32.6*	*33.5*	*34.1*	*34.7*	35.2	
Adj. EBITDA	**80.0**	**90.6**	**101.2**	**106.6**	**117.1**	126.0	**9.5**
Adj. EBITDA margin (%)	*16.4*	*16.9*	*17.6*	*17.9*	*18.5*	18.9	
Cash and orders ($m)							
Capex	16.9	18.3	19.6	20.8	21.5	22.7	6.1
Capex / revenue (%)	*3.5*	*3.4*	*3.4*	*3.5*	*3.4*	3.4	
Adj. EBITDA - capex	**63.1**	**72.3**	**81.6**	**85.8**	**95.6**	103.3	**10.4**
Cash conversion (%)	*78.9*	*79.8*	*80.6*	*80.5*	*81.6*	82.0	
Order backlog	198.4	221.7	238.0	241.9	259.3	274.6	6.7
Backlog / revenue (x)	*0.41*	*0.41*	*0.41*	*0.41*	*0.41*	0.41	

Adj. EBITDA excludes one-off restructuring and the seller's management fees. Gross profit before D&A. Cash conversion is (Adj. EBITDA - capex) / Adj. EBITDA. Negatives in parentheses; FY2026E in blue, a fall in red.

Operating indicators

FY2021A to FY2026E; FY2024A book-to-bill under 1.00x in red

	FY21A	FY22A	FY23A	FY24A	FY25A	FY26E
Book-to-bill (x)	1.06	1.08	1.03	0.99	1.05	1.04
Price realisation (%)	2.1	5.8	4.4	2.6	2.9	2.7
On-time delivery (%)	88.4	84.9	89.7	92.3	93.8	94.6
Top 10 customers (% of revenue)	24.0	23.1	22.5	21.9	21.4	21.0
Employees (year end)	3,920	4,040	4,150	4,210	4,290	4,350
Revenue per employee ($000)	124	133	138	141	148	153

Price realisation: list-price increase realised on like-for-like volume. On-time delivery: order lines shipped by the confirmed date.

Strengths

- Aftermarket and services grew 9.0% a year from FY2021A, to 27.3% of revenue at a 30.5% segment margin, earned on an installed base of c.1.9m valves.
- Adj. EBITDA margin widened in each of the five years, from 16.4% to 18.9%, as aftermarket mix rose and valve pricing held through two input-cost cycles.
- Capex of 3.4% of revenue leaves 82.0% of Adj. EBITDA as cash before tax and interest.
- No end market is over 22.4% of revenue; water, power and food and pharma, 44.1%, are regulated and less cyclical (blue in the chart).
- Backlog of $274.6m covers 0.41x of FY2026E revenue; 46% of revenue is under frame agreements.

Risks to underwrite

- Pumps and systems fell 2.2% in FY2024A (red) and earns 13.5%, the lowest segment margin; the plan assumes no margin recovery there.
- Chemicals and midstream oil and gas, 34.5% of revenue, follow customers' capex cycles; the downside case cuts FY2027E pumps revenue by 12.0%.
- Castings and bar stock are 31% of cost of sales and price pass-through lags about two quarters.
- The top 10 customers take 21% of revenue; none is over 4.2%.
- Book-to-bill dipped to 0.99x in FY2024A (red) as pumps orders fell, and recovered to 1.05x.

Diligence findings

- Quality of earnings accepts FY2025A Adj. EBITDA of $117.1m, including $3.8m of add-backs (restructuring $2.6m, seller fees $1.2m).
- Asia Pacific grew 9.6% a year, the fastest region, on water and power projects.
- Two plants in Europe run under 70% utilisation; the plan holds them open.

Largest customers

% of FY2026E revenue; names withheld until exclusivity

Customer	% of rev.	Since
Customer 1: US water utility	4.2	1998
Customer 2: chemicals major, Europe	3.6	2004
Customer 3: EPC contractor, US	3.1	2011
Customer 4: power generator, US	2.4	2007
Customer 5: food processor, Europe	2.2	2015
Top 5	**15.5**	

Source: Corvane management accounts FY2021A-FY2025A, FY2026E budget (nine months actual), sponsor diligence; all figures illustrative.

Sources and uses and pro forma capital structure

Sources of funds

$m; x FY2026E Adj. EBITDA of $126.0m

Sources	$m	% of total	x EBITDA
Revolver ($175.0m), undrawn	0.0	0.0	0.00x
First-lien term loan B	567.0	42.7	4.50x
Senior unsecured notes	157.5	11.9	1.25x
Management rollover	40.0	3.0	0.32x
Sponsor equity	564.0	42.5	4.48x
Total sources	**1,328.5**	**100.0**	**10.54x**

Uses of funds

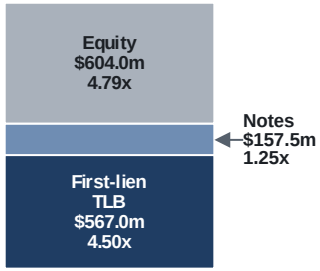
$m; close assumed 31 December 2026

Uses	$m	% of total	x EBITDA
Purchase of equity	973.6	73.3	7.73x
Refinance existing debt	286.4	21.6	2.27x
Cash to balance sheet	25.0	1.9	0.20x
Financing fees and OID	22.0	1.7	0.17x
M&A advisory and other costs	21.5	1.6	0.17x
Total uses	**1,328.5**	**100.0**	**10.54x**

Purchase of equity on a cash-free, debt-free basis; existing debt of $286.4m refinanced.

Capital stack at close

x FY2026E Adj. EBITDA; sources only



Fees and costs

$m; inside total uses

Item	$m	% of EV
Financing fees (2.25% of funded debt)	16.3	1.3
Original issue discount (1.0% of TLB)	5.7	0.5
M&A advisory	12.6	1.0
Legal, accounting and diligence	6.4	0.5
R&W insurance and other	2.5	0.2
Total fees and costs	**43.5**	**3.5**

Pro forma capitalisation at close

$m; x FY2026E Adj. EBITDA of $126.0m; S = term SOFR; key terms below

Tranche	$m	x EBITDA	Cum. x	% of cap.	Pricing	Issue price	Maturity	Call protection	Amortisation	Ranking
Revolving credit facility	0.0	0.00x	0.00x	0.0	S + 325, 37.5bp undrawn	100.0	Dec-31 (5 yr)	NA	None	First lien
First-lien term loan B	567.0	4.50x	4.50x	42.7	S + 350, 0.50% floor	99.0	Dec-33 (7 yr)	101 soft call, 6 months	1.0% a year	First lien
Total first-lien debt	**567.0**	**4.50x**	**4.50x**	**42.7**						
Senior unsecured notes	157.5	1.25x	5.75x	11.9	8.25% fixed	100.0	Dec-34 (8 yr)	NC3, then 104.125 / 102.063 / par	Bullet	Senior unsecured
Total debt	**724.5**	**5.75x**	**5.75x**	**54.5**						
Less: cash	(25.0)									
Net debt	**699.5**	**5.55x**								
Sponsor equity	564.0	4.48x		42.5						Common
Management rollover	40.0	0.32x		3.0						Common, pari passu
Total equity	**604.0**	**4.79x**	**10.54x**	**45.5**						
Total capitalisation	**1,328.5**	**10.54x**		**100.0**						

Key terms of the debt financing

per the commitment papers

Term	Revolver	Term loan B	Senior notes
Financial covenant	First-lien net 6.60x if over 40% drawn	None (covenant-lite)	None
Incurrence test	Pari with TLB	First-lien net 4.50x; total net 6.25x	Fixed charge cover 2.00x
Excess cash flow sweep	NA	50%, to 25% under 4.00x, nil under 3.50x	NA
Incremental capacity	NA	Greater of $126.0m and 100% EBITDA, plus ratio	Ratio debt only
MFN protection	NA	50bp for 12 months	NA
Restricted payments	Pari with TLB	Builder basket; unlimited under 4.25x first-lien net	50% of net income
Security and guarantees	First lien on all assets	First lien on all assets	Unsecured; same guarantors

Structure

- Debt of $724.5m is 5.75x, the median of 12 industrial LBOs (sheet 5); first lien 4.50x against 4.75x.
- Equity is 45.5% of sources ($604.0m), against a 46.0% comps median.
- Liquidity at close of $200.0m: $25.0m cash and the undrawn $175.0m revolver.
- Fees and costs of $43.5m are 3.5% of the $1,260.0m EV.
- FY2027E cash interest of $54.0m; each 100bp on term SOFR adds $5.6m, as the TLB is unhedged in the case.

Price

- 10.0x FY2026E Adj. EBITDA is 0.8x under the listed-peer median of 10.8x and 0.7x under the LBO comps median of 10.7x.

Purchase price analysis

x; peers: consensus for the 12 listed peers (sheet 6); LBO comps: EV / LTM EBITDA (sheet 5)

Multiple	Corvane metric ($m)	Implied at $1,260.0m	Peer median	LBO comps median
EV / FY2025A Adj. EBITDA	117.1	10.76x	NA	NA
EV / FY2026E Adj. EBITDA	**126.0**	**10.00x**	**10.8x**	**10.7x**
EV / FY2027E Adj. EBITDA	140.2	8.99x	10.1x	NA
EV / FY2026E revenue	667.2	1.89x	1.77x	NA
EV / FY2026E (Adj. EBITDA - capex)	103.3	12.20x	NA	NA

Cash interest, first year

$m; FY2027E rates on opening balances

Tranche	Opening ($m)	Rate (%)	Interest ($m)
First-lien term loan B	567.0	7.10	40.3
Senior unsecured notes	157.5	8.25	13.0
Revolver commitment fee	175.0	0.375	0.7
FY2027E cash interest		**7.45**	**54.0**

Equity ownership at close

$m; incentive plan: 6.0% of the equity gain at exit

Holder	Invested ($m)	Ownership (%)
Sponsor	564.0	93.4
Management rollover	40.0	6.6
Total	**604.0**	**100.0**

Source: sponsor financing commitment papers (illustrative), lender term sheets, sponsor model; all figures illustrative.

Five-year operating model and debt schedule

Five-year operating model: sponsor base case

$m unless stated; FY2023A-FY2025A audited, FY2026E budget, FY2027E-FY2031E sponsor base case in blue

	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E	FY31E	CAGR 26-31 (%)
Revenue ($m)										
Engineered valves	270.2	281.9	296.4	309.8	325.3	343.2	362.1	380.2	397.3	5.1
Pumps and systems	161.8	158.3	167.5	175.1	181.2	188.4	196.9	204.8	213.0	4.0
Aftermarket and services	142.7	155.2	168.9	182.3	197.8	214.6	231.8	249.2	267.9	8.0
Total revenue	**574.7**	**595.4**	**632.8**	**667.2**	**704.3**	**746.2**	**790.8**	**834.2**	**878.2**	**5.6**
Growth (%)	*7.2*	*3.6*	*6.3*	*5.4*	5.6	5.9	6.0	5.5	5.3	
Profit and loss ($m)										
Gross profit (pre-D&A)	192.5	203.0	219.6	234.9	251.4	270.1	290.2	310.3	331.1	7.1
Gross margin (%)	*33.5*	*34.1*	*34.7*	*35.2*	35.7	36.2	36.7	37.2	37.7	
SG&A (pre-D&A)	(91.3)	(96.4)	(102.5)	(108.9)	(111.2)	(114.9)	(119.4)	(124.3)	(130.9)	
Adj. EBITDA	**101.2**	**106.6**	**117.1**	**126.0**	**140.2**	**155.2**	**170.8**	**186.0**	**200.2**	**9.7**
Adj. EBITDA margin (%)	*17.6*	*17.9*	*18.5*	*18.9*	19.9	20.8	21.6	22.3	22.8	
D&A					(21.8)	(23.1)	(24.5)	(25.9)	(27.2)	
EBIT					118.4	132.1	146.3	160.1	173.0	
Cash interest					(54.0)	(50.0)	(45.9)	(41.2)	(35.8)	
Cash taxes					(16.1)	(20.5)	(25.1)	(29.7)	(34.3)	
Net income					48.3	61.6	75.3	89.2	102.9	
Cash flow ($m)										
Adj. EBITDA	101.2	106.6	117.1	126.0	140.2	155.2	170.8	186.0	200.2	
Capex	(19.6)	(20.8)	(21.5)	(22.7)	(23.2)	(24.6)	(26.1)	(27.5)	(29.0)	
Change in net working capital					(6.5)	(7.3)	(7.8)	(7.6)	(7.7)	
Cash interest					(54.0)	(50.0)	(45.9)	(41.2)	(35.8)	
Cash taxes					(16.1)	(20.5)	(25.1)	(29.7)	(34.3)	
Levered free cash flow					**40.4**	**52.8**	**65.9**	**80.0**	**93.4**	
FCF / Adj. EBITDA (%)					28.8	34.0	38.6	43.0	46.7	
Debt ($m, year end)										
Mandatory amortisation					(5.7)	(5.7)	(5.7)	(5.7)	(5.7)	
Cash sweep prepayment					(34.7)	(47.1)	(60.2)	(74.3)	(87.7)	
First-lien term loan B				567.0	526.6	473.8	407.9	327.9	234.5	
Senior unsecured notes				157.5	157.5	157.5	157.5	157.5	157.5	
Net debt				**699.5**	**659.1**	**606.3**	**540.4**	**460.4**	**367.0**	
Net debt / Adj. EBITDA (x)				*5.55*	4.70	3.91	3.16	2.48	1.83	

Interest on opening balances: TLB at term SOFR (0.50% floor) + 3.50%, notes 8.25%, 0.375% on the undrawn $175.0m revolver. Taxes at 25.0% of pre-tax income, no interest limitation modelled. Cash sweep: all levered FCF after amortisation prepays the TLB; cash held at $25.0m. Lines set by the new capital structure start at close (FY2026E pro forma). Outflows in parentheses.

Sponsor base case against management plan

by forecast year

	FY27E	FY28E	FY29E	FY30E	FY31E
Mgmt. revenue ($m)	711.0	760.5	813.5	866.2	920.5
Base vs mgmt. (%)	*(0.9)*	*(1.9)*	*(2.8)*	*(3.7)*	*(4.6)*
Mgmt. Adj. EBITDA ($m)	144.3	163.5	183.9	203.6	222.8
Base vs mgmt. (%)	*(2.8)*	*(5.1)*	*(7.1)*	*(8.6)*	*(10.1)*

Reinvestment

maintenance capex at 2.1% of revenue

	FY27E	FY28E	FY29E	FY30E	FY31E
Maintenance capex ($m)	14.8	15.7	16.6	17.5	18.4
Growth capex ($m)	8.4	8.9	9.5	10.0	10.6
Total capex ($m)	**23.2**	**24.6**	**26.1**	**27.5**	**29.0**
Change in NWC ($m)	6.5	7.3	7.8	7.6	7.7
(Capex + NWC) / EBITDA (%)	*21.2*	*20.6*	*19.8*	*18.9*	*18.3*

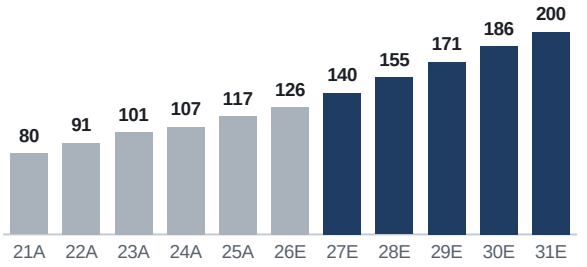
Key assumptions, base case

% unless stated

Assumption	FY27E	FY28E	FY29E	FY30E	FY31E
Valves growth (%)	5.0	5.5	5.5	5.0	4.5
Pumps growth (%)	3.5	4.0	4.5	4.0	4.0
Aftermarket growth (%)	8.5	8.5	8.0	7.5	7.5
Gross margin (%)	35.7	36.2	36.7	37.2	37.7
Adj. EBITDA margin (%)	**19.9**	**20.8**	**21.6**	**22.3**	**22.8**
D&A / revenue (%)	3.1	3.1	3.1	3.1	3.1
Capex / revenue (%)	3.3	3.3	3.3	3.3	3.3
NWC / revenue (%)	17.5	17.5	17.5	17.5	17.5
Term SOFR (%)	3.60	3.40	3.30	3.25	3.25
TLB all-in rate (%)	7.10	6.90	6.80	6.75	6.75
Cash tax rate (%)	25.0	25.0	25.0	25.0	25.0

Adj. EBITDA, FY2021A-FY2031E

$m; history in grey, sponsor base case in blue



Cases compared

management, sponsor base and downside; downside: FY2027E revenue 8.3% under FY2026E, margin 17.2%

FY2031E unless stated	Mgmt.	Base	Downside
Revenue FY2031E ($m)	920.5	**878.2**	735.6
Revenue CAGR 26-31 (%)	6.6	**5.6**	2.0
Adj. EBITDA FY2031E ($m)	222.8	**200.2**	145.6
Adj. EBITDA margin (%)	24.2	**22.8**	19.8
Cumulative levered FCF ($m)	373.4	**332.5**	190.8
Net debt / EBITDA FY2031E (x)	1.46	**1.83**	3.49
Sponsor IRR at 10.0x exit (%)	24.3	**20.7**	**8.5**
Sponsor MOIC at 10.0x exit (x)	2.97	**2.56**	**1.50**

Model notes

- Revenue grows 5.6% a year to $878.2m, under the 6.5% of FY2021A-26E; aftermarket rises to 30.5% of revenue.
- Adj. EBITDA margin rises 3.9pp to 22.8% on mix and a $14m procurement programme; the sponsor case sits 10.1% under management's FY2031E Adj. EBITDA.
- Levered free cash flow of $332.5m over five years repays 58.6% of the term loan; net leverage falls from 5.55x to 1.83x.

Source: Corvane management accounts and FY2026E budget; sponsor base case built from management plan with sponsor adjustments; all figures illustrative.

Returns analysis: IRR and MOIC sensitivities

Sponsor returns, base case

$m unless stated

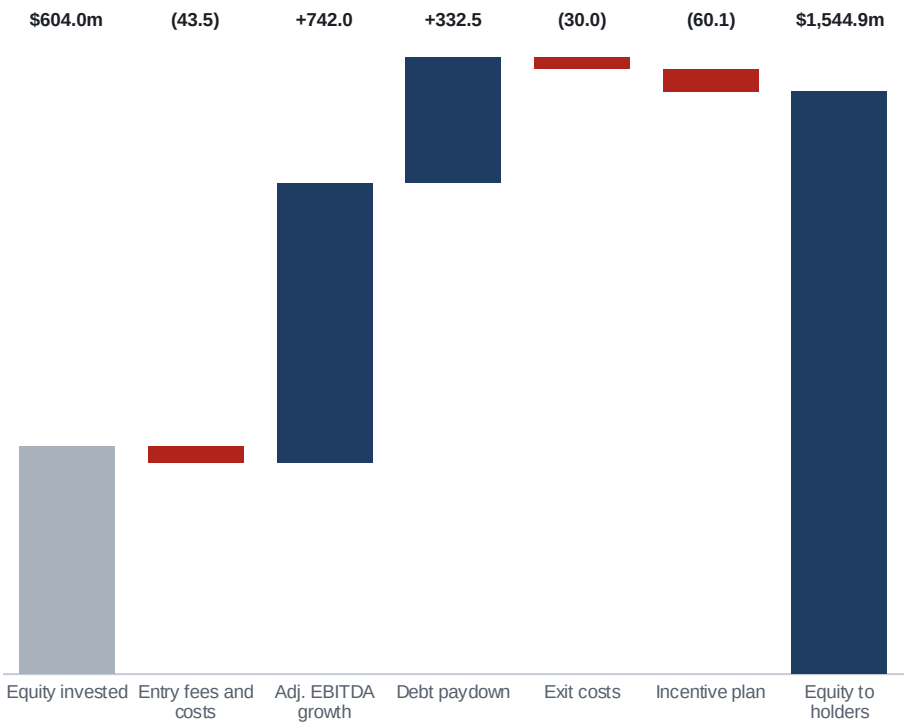
Base case, exit 31 December 2031	$m
FY2031E Adj. EBITDA	200.2
Exit multiple (x)	10.0x
Enterprise value at exit	2,002.0
Less: exit costs (1.5%)	(30.0)
Less: net debt at exit	(367.0)
Equity value at exit	**1,605.0**
Less: management incentive plan	(60.1)
Equity to holders	**1,544.9**
Sponsor share (93.4%)	1,442.6
Sponsor equity invested	564.0
MOIC (x)	**2.56x**
IRR, five-year hold (%)	**20.7%**

Returns

- Base case: 2.56x and 20.7% to the sponsor on a 10.0x exit, 0.7pp over the 20.0% hurdle, with no multiple expansion.
- Adj. EBITDA growth is 69.1% of the value created before costs; debt paydown the rest.
- The hurdle holds down to a 9.77x exit, or to Adj. EBITDA margins 37bp a year under plan; it is least sensitive to rates (+221bp of SOFR).
- Each turn of entry debt adds about 2.4pp of IRR at a 10.0x exit, before the cost to headroom on sheet 5.
- 15 of 35 entry and exit pairs miss 20.0% (red); none exits above its entry multiple.

Value creation bridge: total equity

$m; entry to exit FY2031E; 10.0x in and out, so no multiple step; costs in red



Equity invested includes management's $40.0m rollover; the sponsor receives 93.4% of equity to holders.

IRR by exit year

base case; MOIC at 10.0x

Exit at year end	IRR at 9.0x	IRR at 10.0x	IRR at 11.0x	MOIC at 10.0x
FY2029	16.4%	22.5%	28.0%	1.84x
FY2030	17.6%	21.7%	25.5%	2.19x
FY2031	17.6%	**20.7%**	23.4%	2.56x

Proceeds by holder at exit

$m; base case; the plan takes 3.7% of exit equity

Holder	In ($m)	Out ($m)	MOIC
Sponsor	564.0	1,442.6	2.56x
Management rollover	40.0	102.3	2.56x
Management incentive plan	0.0	60.1	NA
Total equity	**604.0**	**1,605.0**	**2.66x**

Break-even inputs for a 20.0% IRR

each input moved alone from the base case; exit FY2031E

Input	Base case	At 20.0% IRR	Cushion
Exit EV / FY2031E Adj. EBITDA	10.0x	9.77x	**-0.23x**
Adj. EBITDA margin, every year	22.8% in FY31E	22.4%	**-37bp**
Revenue growth, every segment and year	5.6% CAGR	5.2% CAGR	**-0.43pp**
Entry EV / FY2026E Adj. EBITDA	10.0x	10.14x	**+0.14x**
Term SOFR, every year	3.60% in FY27E	5.81% in FY27E	**+221bp**

Margin and growth move by the same amount in every forecast year; SOFR moves in parallel across the curve.

Sponsor IRR: entry debt and exit multiple

%; total debt / FY2026E Adj. EBITDA, notes held at 1.25x

Debt \ exit	9.0x	9.5x	10.0x	10.5x	11.0x
4.75x	15.9%	17.3%	18.6%	19.9%	21.1%
5.25x	16.7%	18.2%	19.6%	20.9%	22.2%
5.75x	17.6%	19.2%	**20.7%**	22.1%	23.4%
6.25x	18.7%	20.4%	22.0%	23.5%	24.9%

Red: under the 20.0% hurdle. Shaded: base case.

Sponsor IRR: revenue growth and margin

%; 10.0x in and out; growth vs base in every year and segment

Growth \ margin	-2.0pp	-1.0pp	-0.5pp	+0.0pp	+0.5pp	+1.0pp
-2.0pp	13.8%	15.8%	16.7%	17.6%	18.5%	19.3%
-1.0pp	15.4%	17.3%	18.3%	19.2%	20.0%	20.9%
+0.0pp	16.9%	18.9%	19.8%	**20.7%**	21.5%	22.4%
+1.0pp	18.5%	20.4%	21.3%	22.2%	23.0%	23.8%

Red: under the 20.0% hurdle. Shaded: base case.

Sponsor IRR: entry and exit multiple

%; exit FY2031E; debt sized at 5.75x at every entry multiple

In \ out	8.5x	9.0x	9.5x	10.0x	10.5x	11.0x	11.5x
9.0x	21.4%	23.1%	24.8%	26.3%	27.8%	29.2%	30.6%
9.5x	18.5%	20.2%	21.8%	23.3%	24.7%	26.1%	27.4%
10.0x	16.0%	17.6%	19.2%	**20.7%**	22.1%	23.4%	24.7%
10.5x	13.8%	15.4%	16.9%	18.3%	19.7%	21.1%	22.3%
11.0x	11.8%	13.4%	14.9%	16.3%	17.6%	18.9%	20.2%

Red: under the 20.0% IRR hurdle. Shaded: base case, 10.0x in and out.

Sponsor MOIC: entry and exit multiple

x; exit FY2031E

In \ out	8.5x	9.0x	9.5x	10.0x	10.5x	11.0x	11.5x
9.0x	2.63x	2.83x	3.02x	3.22x	3.41x	3.60x	3.80x
9.5x	2.33x	2.51x	2.68x	2.85x	3.02x	3.19x	3.36x
10.0x	2.10x	2.25x	2.40x	**2.56x**	2.71x	2.86x	3.02x
10.5x	1.91x	2.04x	2.18x	2.32x	2.46x	2.60x	2.74x
11.0x	1.75x	1.87x	2.00x	2.13x	2.25x	2.38x	2.51x

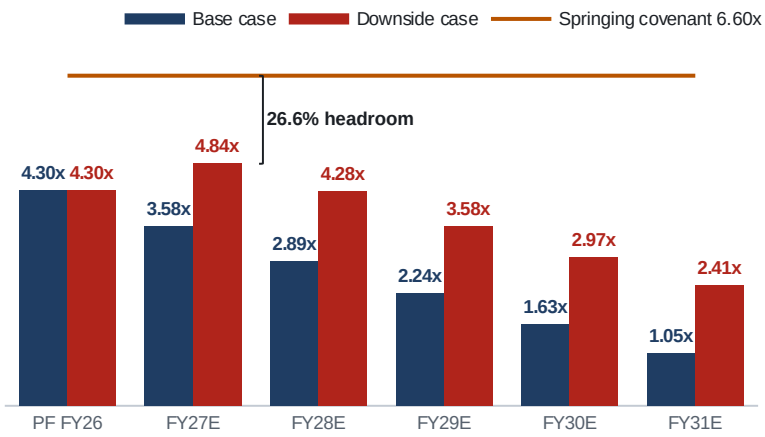
Red: under the 2.5x MOIC hurdle. Shaded: base case.

Source: sponsor model; returns to the sponsor after the management incentive plan, gross of fund fees and carry; all figures illustrative.

Debt capacity and covenant headroom

First-lien net leverage against the springing covenant

x Adj. EBITDA, at each year end; downside cuts FY2027E revenue and margin



Credit statistics, base and downside

$m unless stated; x unless stated

	PF FY26	FY27E	FY28E	FY29E	FY30E	FY31E
Base case						
Adj. EBITDA ($m)	126.0	140.2	155.2	170.8	186.0	200.2
Total debt ($m)	724.5	684.1	631.3	565.4	485.4	392.0
Net debt ($m)	699.5	659.1	606.3	540.4	460.4	367.0
Total debt / EBITDA	5.75x	4.88x	4.07x	3.31x	2.61x	1.96x
First-lien net / EBITDA	**4.30x**	**3.58x**	**2.89x**	**2.24x**	**1.63x**	**1.05x**
EBITDA / cash interest	NA	2.60x	3.10x	3.72x	4.51x	5.59x
(EBITDA - capex) / cash interest	NA	2.17x	2.61x	3.15x	3.85x	4.78x
FCF / total debt (%)	NA	5.6	7.7	10.4	14.1	19.2
TLB repaid, cumulative (%)	0.0	7.1	16.4	28.1	42.2	58.6
Covenant headroom (%)	**34.8**	**45.8**	**56.2**	**66.0**	**75.3**	**84.1**
Downside case						
Adj. EBITDA ($m)	126.0	105.2	112.7	124.8	135.7	145.6
First-lien net / EBITDA	**4.30x**	**4.84x**	**4.28x**	**3.58x**	**2.97x**	**2.41x**
EBITDA / cash interest	NA	1.95x	2.23x	2.59x	2.98x	3.42x
Covenant headroom (%)	**34.8**	**26.6**	**35.2**	**45.7**	**54.9**	**63.5**

Covenant headroom: the share by which Adj. EBITDA could fall before first-lien net leverage reaches 6.60x. FCF / total debt on opening debt.

Debt capacity

- The proposed 5.75x sits under three of four capacity tests; on (EBITDA - capex) cover it is $21.8m over a 2.0x line at close (1.94x), which the base case clears by FY2028E (2.61x).
- In the downside case Adj. EBITDA falls 16.5% in FY2027E and first-lien net leverage peaks at 4.84x, still 26.6% inside the 6.60x covenant.
- The revolver is undrawn in both cases, so the springing test is never live; interest cover bottoms at 1.95x.

Industrial LBO financings, 2025-2026

fictional precedents; leverage and EV / EBITDA on LTM EBITDA at close

Borrower	Closed	EV ($m)	EV / EBITDA	Total lev.	First-lien lev.	Equity (%)	TLB spread (bp)	OID	Ratings
Halberd Pumps	Q3 2026	1,840	11.2x	6.00x	4.75x	44	350	99.50	B2 / B
Ostrava Valve Holdings	Q3 2026	960	10.1x	5.50x	4.50x	46	375	99.00	B2 / B
Marrow Industrial Controls	Q2 2026	1,420	10.8x	5.75x	4.25x	47	325	99.50	B2 / B+
Tidewell Fluid Handling	Q2 2026	720	9.6x	5.25x	5.25x	45	400	98.50	B3 / B
Ferrous Flow Partners	Q1 2026	2,350	12.0x	6.25x	4.75x	48	325	99.75	B2 / B
Lindqvist Actuation	Q1 2026	610	9.4x	5.00x	5.00x	47	425	98.50	B3 / B-
Corran Seals and Gaskets	Q4 2025	1,130	10.5x	5.75x	4.50x	45	350	99.00	B2 / B
Westbury Process Equipment	Q4 2025	880	9.9x	5.50x	5.50x	44	375	99.00	B2 / B
Aurel Metering	Q3 2025	1,560	11.5x	6.00x	4.50x	49	350	99.25	B2 / B
Brennan Compressor Group	Q3 2025	1,990	10.9x	5.75x	4.75x	46	350	99.50	B1 / B+
Stellan Filtration	Q2 2025	740	10.2x	5.25x	5.25x	48	400	98.75	B3 / B
Pell and Rook Instruments	Q2 2025	1,275	11.0x	6.00x	4.50x	45	375	99.00	B2 / B
Mean		*1,290*	*10.6x*	*5.67x*	*4.79x*	*46.2*	*367*	*99.10*	
Median		**1,202**	**10.7x**	**5.75x**	**4.75x**	**46.0**	**362**	**99.00**	
High		*2,350*	*12.0x*	*6.25x*	*5.50x*	*49.0*	*425*	*99.75*	
Low		*610*	*9.4x*	*5.00x*	*4.25x*	*44.0*	*325*	*98.50*	
Corvane (proposed)	**Q4 2026**	**1,260.0**	**10.0x**	**5.75x**	**4.50x**	**45.5**	**350**	**99.00**	**B2 / B ***

Statistics of the 12 precedents in italics, median bold; Corvane at the proposed terms shaded. * Expected ratings.

Debt capacity

$m; FY2026E Adj. EBITDA of $126.0m

Method	Basis	Max. debt ($m)	x EBITDA
LBO comps median total leverage	5.75x x FY2026E Adj. EBITDA	724.5	5.75x
Rating threshold, B2 / B	6.00x total leverage at close	756.0	6.00x
(EBITDA - capex) / interest of 2.0x	at a 7.35% blended cost	702.7	5.58x
Repay 50% of first lien in 5 years	cumulative FCF $332.5m against TLB	822.5	6.53x
Proposed structure	**TLB and senior notes**	**724.5**	**5.75x**

Repayment test: debt such that five years of base-case levered FCF would repay half the first lien, with the notes outstanding.

Downside case definition

a 2009-style volume shock in FY2027E, then recovery

Downside case	FY27E	FY28E	FY29E	FY30E	FY31E
Valves growth (%)	(10.0)	2.0	5.0	5.0	4.5
Pumps growth (%)	(12.0)	1.0	4.5	4.0	4.0
Aftermarket growth (%)	(2.0)	6.0	7.0	7.0	7.0
Adj. EBITDA margin (%)	17.2	17.9	18.8	19.4	19.8
Margin vs base (pp)	*(2.7)*	*(2.9)*	*(2.8)*	*(2.9)*	*(3.0)*
Revenue vs base (%)	*(13.2)*	*(15.7)*	*(16.0)*	*(16.1)*	*(16.2)*

Rate sensitivity

term SOFR moved in parallel; TLB unhedged

Base operating case	Curve	+100bp	+200bp
FY27E interest ($m)	54.0	59.6	65.3
FY27E cover (x)	2.60	2.35	2.15
5-year FCF ($m)	332.5	312.6	292.3
FY31E net lev. (x)	1.83	1.93	2.03
Sponsor IRR (%)	20.7	20.4	20.1

Source: sponsor model; lender term sheets; precedent financings compiled by the deal team (fictional); all figures illustrative.

Exit scenarios and listed peer valuation

Exit scenarios

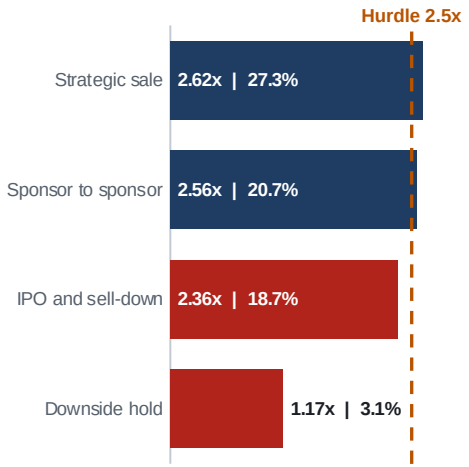
sponsor returns after net debt, exit costs and the incentive plan; base case shaded

	Strategic sale	Sponsor to sponsor	IPO and sell-down	Downside hold
Exit at year end	FY2030	FY2031	FY2031	FY2031
Buyer universe	Flow-control strategics; synergy-paying	Large-cap industrial sponsors	Listed flow-control peers; 15% IPO discount to 11.0x	Sponsors; cyclical trough multiple
Exit-year Adj. EBITDA ($m)	186.0	200.2	200.2	145.6
Exit EV / Adj. EBITDA (x)	11.50x	10.00x	9.35x	8.50x
Enterprise value ($m)	2,139.0	2,002.0	1,871.9	1,237.6
Less: net debt and exit costs ($m)	(492.5)	(397.0)	(395.1)	(527.3)
Equity value ($m)	1,646.5	1,605.0	1,476.8	710.3
Sponsor proceeds ($m)	1,479.0	1,442.6	1,330.1	657.3
MOIC (x)	**2.62x**	2.56x	**2.36x**	**1.17x**
IRR (%)	**27.3%**	20.7%	**18.7%**	**3.1%**
Probability (%)	30	40	15	15

IPO: 11.0x listed value less a 15% discount (9.35x), sell-down treated as one exit at FY2031 year end. Downside hold: downside case at 8.5x.

Sponsor MOIC and IRR by exit route

x and %; below the 2.5x MOIC hurdle in red

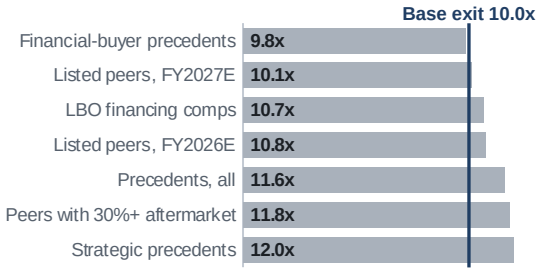


Exit view

- Probability-weighted: 2.34x and 19.7%. Two of four routes clear both hurdles; the IPO's 15% discount takes it to 18.7%.
- Peers with 30% or more aftermarket trade at a median of 11.8x against 9.8x for the rest; Corvane reaches 30.5% aftermarket by FY2031E.
- The downside hold at 8.5x returns 1.17x, capital back with a 3.1% IRR.

Reference multiples against the base exit

x EBITDA; 6 of 7 sit above the 10.0x base exit (blue line)



Listed flow-control peers: trading multiples

fictional companies; consensus estimates; EV in $m; statistics exclude Corvane

Company	EV ($m)	EV / Rev. 26E	EV / EBITDA 26E	EV / EBITDA 27E	Rev. growth 26E (%)	EBITDA margin 26E (%)	Aftermarket (%)	Net debt / EBITDA	P / E 27E
Brightwater Valve Group	9,840	2.91x	13.6x	12.5x	6.1	21.4	38	1.4x	19.8x
Aldergate Controls	7,215	2.48x	12.4x	11.6x	5.2	20.0	34	1.9x	18.1x
Norrland Flow	5,630	2.12x	11.8x	11.0x	4.8	18.0	31	2.2x	17.4x
Castellan Process Technologies	4,980	2.36x	11.5x	10.7x	5.6	20.5	29	1.6x	16.9x
Saxe-Halden	4,410	1.71x	10.9x	10.3x	3.9	15.7	27	2.4x	15.6x
Tessaly Pumps	3,865	1.64x	10.2x	9.6x	3.4	16.1	24	2.8x	14.8x
Pemberton Fluid Systems	3,120	1.83x	10.6x	9.9x	4.5	17.3	30	2.0x	15.9x
Hartwell Motion and Flow	2,775	1.42x	9.4x	8.9x	2.9	15.1	22	3.1x	13.7x
Orenvale Engineering	2,240	1.58x	9.8x	9.2x	4.1	16.1	26	2.6x	14.4x
Quillon Instruments	1,960	2.05x	11.2x	10.4x	6.4	18.3	33	1.2x	17.0x
Varga Hydraulics	1,515	1.21x	8.6x	8.1x	2.2	14.1	19	3.4x	12.6x
Kormoran Industrial	1,180	1.37x	9.1x	8.6x	3.6	15.1	21	2.9x	13.2x
Mean	*4,061*	*1.89x*	*10.8x*	*10.1x*	*4.4*	*17.3*	*28*	*2.3x*	*15.8x*
Median	**3,492**	**1.77x**	**10.8x**	**10.1x**	**4.3**	**16.7**	**28**	**2.3x**	**15.8x**
High	*9,840*	*2.91x*	*13.6x*	*12.5x*	*6.4*	*21.4*	*38*	*3.4x*	*19.8x*
Low	*1,180*	*1.21x*	*8.6x*	*8.1x*	*2.2*	*14.1*	*19*	*1.2x*	*12.6x*
Corvane at entry	**1,260.0**	**1.89x**	**10.0x**	**9.0x**	**5.4**	**18.9**	**27.3**	**5.6x**	**NA**

Corvane at entry: EV of $1,260.0m on FY2026E and FY2027E base-case Adj. EBITDA; growth, margin and aftermarket share for FY2026E. Peers at 30% or more aftermarket: Brightwater Valve Group, Aldergate Controls, Norrland Flow, Pemberton Fluid Systems, Quillon Instruments.

Flow-control precedent transactions, 2023-2026

fictional deals; EV in $m; multiples of LTM EBITDA and revenue at announcement

Announced	Target	Acquirer	EV ($m)	EV / EBITDA	EV / Rev.
Jun 2026	Ostrava Valve Holdings	Halvard Capital	960	10.1x	1.86x
Mar 2026	Lumen Fluid Controls	Brightwater Valve Group	1,430	12.6x	2.44x
Nov 2025	Delacroix Pompes	Saxe-Halden	615	11.4x	1.97x
Aug 2025	Ridgeway Actuators	Aldergate Controls	880	12.9x	2.62x
May 2025	Torvik Process Valves	Norrland Flow	1,120	11.8x	2.21x
Jan 2025	Calder Pump Works	Kestrel Ridge Partners	540	9.6x	1.48x
Oct 2024	Seaborne Flow Services	Castellan Process Technologies	760	13.4x	2.85x
Jun 2024	Mattox Industrial Valves	Pemberton Fluid Systems	1,015	11.1x	2.05x
Feb 2024	Arlen Hydraulic Systems	Varga Hydraulics	430	9.2x	1.39x
Sep 2023	Penrose Metering	Quillon Instruments	690	12.2x	2.30x
	Median, strategic buyers		**820**	**12.0x**	**2.25x**
	Median, financial buyers		*750*	*9.8x*	*1.67x*
	Median, all		*820*	*11.6x*	*2.13x*

Financial buyers: Halvard Capital and Kestrel Ridge Partners; all other acquirers are listed strategics from the peer set.

Exit preparation

- Report aftermarket and services as a separate segment from FY2027E, so buyers can price its 30.5% margin.
- Three years of audited segment accounts by FY2029E keep the IPO route open alongside a sale.
- All 8 strategic acquirers of the last three years are listed peers in the table: the buyer universe is known.

Source: sponsor model; peer consensus estimates as of October 2026 (fictional companies); all figures illustrative.